

VERANO APPAREL LTD.

ANNUAL BUSINESS PERFORMANCE & STRATEGIC REVIEW — FISCAL YEAR 2024-2025

1. EXECUTIVE SUMMARY & COMPANY OVERVIEW

Verano Apparel is a rapidly growing contemporary casualwear brand founded in late 2021, specializing in everyday essentials including premium cotton t-shirts, tailored denim jeans, technical activewear, and seasonal outerwear/jackets. Headquartered in Lahore, Pakistan, the brand serves urban consumers seeking versatile, high-quality, and affordable apparel.

Currently, Verano Apparel operates three state-of-the-art physical retail stores alongside a thriving e-commerce storefront (VeranoApparel.pk). Over the past two financial years (FY2024 and FY2025), Verano Apparel demonstrated robust financial resilience, expanding total revenue by 28.4% YoY while increasing retail presence across key Punjab urban hubs.

2. PHYSICAL & DIGITAL RETAIL FOOTPRINT

Verano Apparel currently operates across four primary channels:

- **MM Alam Road Flagship Store (Lahore):** Opened Q1 2022. 4,500 sq. ft. multi-level retail experience featuring complete product range.
- **Packages Mall Store (Lahore):** Opened Q3 2023. 2,800 sq. ft. modern mall storefront with emphasis on Activewear and Casualwear.
- **Kohinoor City Mall Branch (Faisalabad):** Opened Q2 2024. 3,100 sq. ft. regional store expanding brand reach into Punjab's textile capital.
- **Online Store (VeranoApparel.pk):** Re-launched on Shopify Plus in late 2023, offering nation-wide delivery with 2-day delivery across major cities.

3. FINANCIAL PERFORMANCE & REVENUE BY STORE (FY2024 vs FY2025)

During FY2025, total gross revenue reached **PKR 348,500,000**, compared to **PKR 271,300,000** in FY2024, representing an overall year-over-year growth rate of 28.45%.

Store / Sales Channel	FY2024 Revenue (PKR)	FY2025 Revenue (PKR)	YoY Growth (%)	Share of FY25 Revenue
MM Alam Road Flagship (Lahore)	115,000,000	132,000,000	+14.78%	37.88%
Packages Mall Store (Lahore)	68,500,000	89,000,000	+29.93%	25.54%
Kohinoor City Mall (Faisalabad)	32,800,000	54,500,000	+66.16%	15.64%
Online Store (VeranoApparel.pk)	55,000,000	73,000,000	+32.73%	20.95%
TOTAL COMPANY	271,300,000	348,500,000	+28.45%	100.00%

4. CATEGORY BREAKDOWN & SALES ANALYSIS

Revenue analysis by core product line reveals strong demand for activewear and denim:

- **T-Shirts & Polos:** Accounted for 32% of total unit sales and 24% of net revenue (PKR 83.6M). Core basic tees remain top volume drivers.
- **Denim & Jeans:** Accounted for 28% of total revenue (PKR 97.5M), benefiting from high average selling prices.
- **Activewear & Gym Wear:** Fast-growing category contributing 26% of revenue (PKR 90.6M) with 42% YoY surge.
- **Jackets & Outerwear:** Winter seasonal driver generating 22% of revenue (PKR 76.8M) concentrated in Q4/Q1.

5. HUMAN RESOURCES & STAFFING SUMMARY

As of year-end FY2025, Verano Apparel employed 86 full-time headcount across corporate, store retail, and warehouse logistics teams.

Department / Business Unit	Headcount (FY2024)	Headcount (FY2025)	Key Department Lead
Corporate & HR Management	8	10	Tariq Mahmood (Head of HR)
Marketing & E-Commerce	7	12	Ayesha Khan & Usman Ali
Retail Store Staff (MM Alam Flagship)	16	18	Maria Santos (Ops Manager)
Retail Store Staff (Packages Mall)	11	14	Retail Supervisor
Retail Store Staff (Kohinoor City Mall)	8	12	Store Manager
Warehouse & Inventory Logistics	12	20	Inventory Lead
TOTAL HEADCOUNT	62	86	--

6. STRATEGIC GOALS FOR THE UPCOMING YEAR (FY2027)

1. Geographic Retail Expansion:

Open 2 new physical retail branches in Islamabad (Centaurus Mall) and Rawalpindi by Q3 2027, projecting an incremental revenue lift of PKR 60M.

2. E-Commerce Direct-to-Consumer Growth:

Expand online sales contribution from 20.95% to 30% of total company revenue by investing in automated inventory integration and same-day delivery in Lahore.

3. Sustainable Supply Chain & Reorder Optimization:

Reduce stockout instances on core SKUs (e.g. Slim Fit Denim and Tech Active Shorts) by lowering lead times from 21 days to 12 days through localized textile partnerships in Faisalabad.

4. Workforce & Employee Development:

Fill active 22 open positions identified in the Q3 Hiring Plan, enhance employee retention via updated HR Policy incentives, and maintain staff attrition below 10% annually.

